IOWA STATE UNIVERSITY
Extension and Outreach

# IBA: Business Rules

## What This Report Contains:

1. Business Rules Governing Audit Processes and Decision-Making

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**BUSINESS RULES SAMPLES**

**CATEGORY 1: DATA IMPORT & VALIDATION RULES**

**BR-001: CRMA Data Import Validation**

**Description:** All imported commission data must meet minimum quality standards before processing.

**Rule Logic:**

- **Required Fields:** OrderID, SAN (Supplier Account Number), Customer ID, MRC, Commission Amount, Supplier Name must be present
- **Data Type Validation:** MRC and Commission Amount must be numeric, dates must be valid date format
- **Completeness Check:** Records missing critical fields flagged as "Failed Validation" and excluded from analyst queue
- **Threshold:** If >5% of records fail validation, system alerts RA Manager for data source review

**Actions:**

- Valid records → Proceed to flagging rules
- Invalid records → Move to "Failed Validation" queue for manual review
- System generates Data Quality Report showing validation pass rate

**BR-002: Historical Note Matching**

**Description:** Prior month notes must be matched and linked to current month line items for continuity.

**Rule Logic:**

- **Matching Key:** OrderID + SAN combination
- **Lookup Period:** Prior 6 months of audit history
- **Carry Note Priority:** Items flagged with "Carry Note = TRUE" in prior month appear at top of analyst queue
- **Note Linking:** All prior month notes for matched OrderID+SAN displayed in chronological order

**Actions:**

- Match found → Link historical notes to current line item
- No match found → Mark as "New Account" (first-time audit)

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**BR-003: Duplicate Detection**
**Description:** Prevent duplicate line items from appearing in the same audit cycle.
**Rule Logic:**

- Uniqueness Key: OrderID + SAN + Audit Month must be unique.
- Duplicate Check: If another record exists with same key in current month, mark as duplicate.
- Retention: Retain the most recent record by import timestamp.

**BR-010: Non-Pay Flag**
**Description:** Identify accounts that made no payment in the current month.
**Rule Logic:**

- Payment Check: If Current Month MRC = 0 OR Current Month Commission = 0 then Non-Pay Flag = TRUE
- Historical Contrast: Prior Month MRC or Commission > 0 indicates change in payment behavior

**BR-011: Chargeback Flag**
**Description:** Identify negative commissions indicating supplier chargeback.
**Rule Logic:**

- Chargeback Check: If Current Month Commission < 0 then Chargeback Flag = TRUE
- Amount Capture: Store negative amount as chargeback value

**BR-012: Variance Flag (Commission Drop)**
**Description:** Identify significant commission drops requiring investigation.
**Rule Logic:**

- PercentVar: Percentage variance = (Current Commission − Prior Month Commission) / Prior Month Commission
- DollarVar: Dollar variance = Current Commission − Prior Month Commission
- Variance Review Flag: TRUE if PercentVar < −10% AND |DollarVar| > 50

**BR-013: Commission Rate Variance**
**Description:** Detect when actual commission rate differs from expected passthrough rate.
**Rule Logic:**

- Expected Rate: From contract/order passthrough rate
- Actual Rate: Current Commission / Current MRC
- Rate Variance: If there is absolute difference between Expected Rate and Actual Rate > 2 percentage points, Comm Rate Variance Flag = T

**BR-014: MRC Review Flag (2–13 Month Accounts)**
**Description:** Apply special monitoring for accounts aged 2–13 months with concerning conditions.
**Rule Logic:**

- Age Window: Account Age between 2 and 13 months (inclusive)
- Trigger Conditions: Variance Review Flag = TRUE OR Negative MRR Delta Flag = TRUE OR Comm Rate Variance Flag = TRUE

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- MRC Review Flag: TRUE if Age in AND any trigger condition TRUE

**BR-015: Negative MRR Delta Flag**
**Description:** Flag when Monthly Recurring Revenue drops significantly.
**Rule Logic:**
- MRR Delta % = (Current MRC − Prior Month MRC) / Prior Month MRC
- Negative MRR Flag: TRUE if MRR Delta % < −10%

**BR-016: Master Review Flag (Customer-Level)**
**Description:** Flag all accounts for a customer when any one account requires review.
**Rule Logic:**
- Customer Scope: Group all line items by Customer ID
- Master Review Flag: For a given Customer ID, if any line item has Variance Review, Non-Pay, Chargeback, MRC Review = TRUE, then all accounts for that customer get Master Review Flag = TRUE

**BR-020: Auto-Pass Eligibility**
**Description:** Automatically categorize accounts that require no manual review.
**Rule Logic:**
- Flag Conditions: Non-Pay, Chargeback, Variance Review, MRC Review, Comm Rate Variance, Negative
- Account Age: Age > 13 months
- History: Prior Month Action = PASS
- Auto-Pass: TRUE if all above conditions met

**BR-021: Excluded Agent Auto-Pass**
**Description:** Automatically exclude specified agents from audit per predefined list.
**Rule Logic:**
- Exclusion List: If AgentID is in ExcludedAgentList, then Excluded Agent Flag = TRUE
- Auto-Pass: For excluded agents, auto-pass applies regardless of flags unless overridden by policy

**BR-022: One-Time Payment Auto-Pass**
**Description:** Auto-pass one-time commission payments when they match expected conditions.
**Rule Logic:**
- Payment Type: Commission Type = "One-Time"
- Prior Commission: Prior Month Commission = 0
- Current Commission: Current Commission > 0
- Renewal Status: IsRenewal = FALSE
- Auto-Pass: TRUE when all conditions met

**Actions:**
- Auto-Pass = TRUE → Categorize as PASS with Sub-Action = "ONE-TIME PAYMENT"
- Analyst may override and investigate if documentation is missing or inconsistent

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**BR-030: Action Category Selection**
**Description:** Analyst must assign exactly one action category to each reviewed line item.
**Rule Logic:**

- Valid Categories: PASS, SEND OUT, DISPUTED, HOLD PAYMENT, DISCONNECT
- Required: Every line item must have exactly one action category before audit completion

**Actions:**

- PASS → Issue resolved or no issue found
- SEND OUT → Supplier follow-up required
- DISPUTED → Active dispute with supplier is in place
- HOLD PAYMENT → Telarus holds partner payment pending resolution
- DISCONNECT → Service disconnected or termination confirmed

**BR-031: Sub-Action Required**
**Description:** Each action category must be refined with a specific sub-action.
**Rule Logic:**

- PASS → Sub-Actions may include NO FLAG, RESOLVED, MONITORED, OTHER
- SEND OUT → Sub-Actions may include DECLINE MOM, NON-PAY, CHARGEBACK, DISCONNECT,
- DISPUTED → Sub-Actions may include AWAITING_RESPONSE, PARTIAL_RESOLUTION,
- HOLD PAYMENT → Sub-Actions may include PENDING_SUPPLIER, PENDING_AUDIT,
- DISCONNECT → Sub-Actions may include EFFECTIVE_DISCONNECT, PENDING_DISCONNECT,

**Actions:**

- System enforces sub-action selection before saving line item
- Invalid combination (e.g., PASS + CHARGEBACK) → Block save and prompt correction

**BR-032: Analyst Notes Required for Flagged Items**
**Description:** All flagged items must include analyst notes explaining the decision.
**Rule Logic:**

- Notes Requirement: If any flag = TRUE AND an Action Category is selected AND Notes are empty, then save is blocked
- Minimum Length: Notes must meet a minimum length for clarity

**Actions:**

- Block save for flagged items without notes → Display error "Notes required for flagged items"
- Store notes with timestamp and analyst ID for audit trail

**BR-033: Carry Note Flag**
**Description:** Allow analysts to mark items that require follow-up in the next month's audit.
**Rule Logic:**

- Carry Note: Analyst sets Carry Note = TRUE when issue is expected to span multiple months
- Next Audit Behavior: Carried items appear at top of next month's queue, with prior notes visible

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**Actions:**

- Carry Note = TRUE → Prioritize in next month's audit and preserve context
- Use for first-month non-pay, pending true-ups, or long-running disputes

**BR-040: Audit Completion Validation**
**Description:** Prevent audit completion until all required fields and actions are captured.
**Rule Logic:**

- Completion Criteria:
- Every line item has an Action Category
- All flagged items have notes
- Failed Validation items < 1% of total
- Overall Data Quality Score ≥ 95%

**Actions:**

- If criteria met → RA Manager can mark audit as COMPLETE
- If criteria not met → System lists missing items and blocks completion

**BR-041: Auto-Case Creation Trigger**
**Description:** Automatically create or update Salesforce cases based on audit outcome.
**Rule Logic:**

- Trigger: When Audit Status changes to COMPLETE
- Case Creation: For each line item with Action = SEND OUT or DISPUTED
- Existing Case Check: If a case already exists for OrderID + SAN, update; otherwise create new

**Actions:**

- Create/Update cases with subject, amount at risk, category, and notes
- Assign initial status (e.g., "In Review") and priority based on dollar impact

**BR-050: Case Status Transitions**
**Description:** Enforce a controlled lifecycle for case statuses.
**Rule Logic:**

- Allowed Flow: In Review → With Supplier → Pending Verification → Closed
- Escalation Path: Any status → Escalated → Manager Review → With Supplier
- No Skipping: Cases cannot move directly from In Review to Closed

**Actions:**

- Block invalid status transitions
- Require note on each status change explaining reason

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**BR-051: Follow-Up Reminder Scheduling**
**Description:** Automatically schedule reminders for cases awaiting supplier response.
**Rule Logic:**
Condition: Case Status = WITH SUPPLIER
Schedule:

- Day 7 → Reminder to analyst
- Day 14 → Reminder to analyst and RA Manager
- Day 21 → Escalation reminder to RA Manager

**Actions:**

- Generate and send reminders as scheduled
- Cancel remaining reminders when case leaves WITH SUPPLIER status

**BR-052: Case Escalation Rules**
**Description:** Automatically escalate cases meeting high-risk or aging criteria.
**Rule Logic:**
Escalation Triggers:

- Case in WITH SUPPLIER for more than 21 days
- Case amount > $5,000
- Line item has 3 or more flags
- Customer has more than 5 open disputes
- If any trigger TRUE → Escalation Flag = TRUE

**Actions:**

- Set Case Status = ESCALATED and assign to RA Manager
- Notify manager and log escalation reason

**BR-060: Dispute Workbook Generation**
**Description:** Generate supplier-specific dispute workbooks for SEND OUT and DISPUTED items.
**Rule Logic:**

- Selection: Include only line items for a given supplier where Action = SEND OUT or DISPUTED
- Workbook Contents: OrderID, SAN, Customer, MRC, Expected vs Actual Commission, Variance, Notes

**Actions:**

- Generate Excel or CSV file per supplier per audit cycle
- Provide file for email/portal submission

**BR-061: Communication Logging Required**
**Description:** Ensure all supplier communications are logged for audit trail.
**Rule Logic:**

- Condition: Whenever a dispute workbook or individual dispute is submitted
- Required Fields: Communication Type, Submission Date/Time, Analyst ID, Supplier, Reference Number

**Actions:**

- Create a communication log entry for each submission
- Prevent setting Case Status = WITH SUPPLIER without at least one log entry

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**BR-062: Supplier Response Handling**
**Description:** Update cases and audit records when supplier responses are received.
**Rule Logic:**

- Response: When supplier response is received via email/portal/log
- Status Change: Case Status moves from WITH SUPPLIER to PENDING VERIFICATION
- Reminder Handling: Cancel upcoming follow-up reminders for that case

**Actions:**

- Attach response details to case
- Notify analyst that case is ready for verification

**BR-070: Case Closure Requirements**
**Description:** Define conditions for closing cases.
**Rule Logic:**

- Pre-Closure Requirements:
- Case Status = PENDING VERIFICATION
- Resolution outcome documented (Resolved, Unresolved, Partial)
- Final dollar amount recorded
- If amount > $1,000, Manager approval required

**Actions:**

- When requirements met → Case Status can be set to CLOSED (Resolved or Unresolved)
- If requirements not met → Block closure and prompt for missing data

**BR-071: 14-Day Auto-Close Timer**
**Description:** Automatically archive closed cases after a grace period.
**Rule Logic:**

- Start Timer: When Case Status set to CLOSED (Resolved or Unresolved)
- Duration: 14 days before auto-archival
- Midpoint Reminder: Optional notice at Day 7

**Actions:**

- After 14 days → Move case to archived state (read-only)
- Remove from active dashboards and queues

**BR-072: Case Reopening Rules**
**Description:** Control when and how closed cases can be reopened.
**Rule Logic:**

- Reopen Window: If Days Since Closure ≤ 14, case can be reopened with manager approval
- After 14 Days: New case must be created instead of reopening

**Actions:**

- Within 14 days → Allow reopening with recorded reason
- Beyond 14 days → Create new case and link to original as reference

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**BR-080: Monitoring Queue Management**
**Description:** Manage items under monitoring across audit cycles.
**Rule Logic:**

- Monitoring Condition: Action = IN REVIEW and Sub-Action = MONITORING
- Carryforward: Mark such items as "Carry Forward" into next month's audit
- Resolution Check: In next cycle, re-evaluate flags and payment behavior

**Actions:**

- If resolved → Recommend PASS and clear monitoring
- If unresolved → Escalate to SEND OUT or DISPUTED as appropriate

**BR-081: Carry Note Priority Ranking**
Description: Prioritize carryforward items and critical issues in analyst queues.
**Rule Logic:**
Queue Priority Order:

1) Carry Note items
2) Multi-flag items (3+ flags)
3) High-value items (variance or commission > $1,000)
4) Aged items (open > 60 days)
5) Standard flagged items
6) Auto-pass items

**Actions:**

- Sort analyst work queues according to priority order
- Ensure high-risk and recurring issues are reviewed first

**BR-090: Real-Time Dashboard Metrics**
**Description:** Provide real-time visibility into audit and case performance.
**Rule Logic:**

- Audit Completion % = (Number of Items Categorized / Total Items) × 100
- Case Resolution Rate = (Closed Cases / Total Cases) × 100
- Average Resolution Time = Sum of (Resolution Date − Creation Date) / Total Closed Cases
- Supplier Compliance % = (Cases Resolved Within SLA / Total Cases per Supplier) × 100

**Actions:**

- Update dashboards as audits and cases are updated
- Highlight suppliers or processes breaching SLA or trending poorly

**BR-091: Data Retention & Archiving**
**Description:** Define how long audit, case, and communication data must be retained.
**Rule Logic:**

- Active Audits: Current+recent cycles kept in active storage
- Archived Audits and Cases: Retain for 7 years
- Communication Logs and Activity Logs: Retain per compliance policy

**Actions:**

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- Periodically archive old data according to retention schedule
- Ensure archived data remains searchable for compliance and historical analysis

**BUSINESS RULES SUMMARY BY CATEGORY**

| Category | Rules | Purpose |
|---|---|---|
| **1. Data Import & Validation** | BR-001 to BR-003 | Ensure data quality and integrity |
| **2. Automated Flagging** | BR-010 to BR-016 | Identify accounts requiring review |
| **3. Auto-Pass Categorization** | BR-020 to BR-022 | Reduce manual workload by 60-70% |
| **4. Analyst Categorization** | BR-030 to BR-033 | Standardize decision-making |
| **5. Audit Completion** | BR-040 to BR-041 | Enforce completeness & trigger automation |
| **6. Case Management** | BR-050 to BR-052 | Manage lifecycle & SLAs |
| **7. Supplier Communication** | BR-060 to BR-062 | Track and document communications |
| **8. Case Closure** | BR-070 to BR-072 | Ensure proper resolution documentation |
| **9. Monitoring & Carryforward** | BR-080 to BR-081 | Track recurring issues across audits |
| **10. Reporting & Analytics** | BR-090 to BR-091 | Provide visibility & compliance |

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